Economy Topic 12 — Economic Laws, Reports, Rankings and Miscellaneous

Comprehensive Study & Revision Notes

> **Key Reference Framework:** Ministry of Finance Economic Survey compendiums, NITI Aayog SDG India Index Reports, UNDP Human Development Reports, World Bank & World Economic Forum flagship publications, and State Public Service Commission Examination archives. **Exam Weightage:** Very High — Frequently tested on statutory enactment years (IBC, RERA, PMLA), edition-specific rankings across global indices, NITI Aayog SDG India Index State classifications, foundational economic treatises, and national policy missions.

Current Affairs & Key Indicators

Year / Index	Key Development & Core Metric	Analytical & Policy Significance
Economic Survey 2022–23 Policy Response	To counteract aggravated global supply disruptions, the Government of India **reduced customs duties on fuel and selected imported inputs**.	Prioritized inflation management through targeted excise and tariff rationalization, without curtailing food or fertilizer subsidies.
Economic Survey E-Commerce Projection	Projected that fashion, grocery, and general merchandise will account for nearly two-thirds of India's e-commerce market **within the next four years (~2027)**.	Distinguishes medium-term digital market penetration from distant decade-end targets (not 2030).
Human Development Report (HDR 2021–22)	India's global HDI ranking **slipped from 130 (2020) to 132 (2022)** amid post-pandemic global setbacks.	A higher numerical rank denotes a relative decline in comparative global standing; describing this as an "upgrade" is incorrect.
World Happiness Report 2022	India ranked **136th** globally in subjective life evaluation among 146 surveyed nations.	Published by the UN Sustainable Development Solutions Network (SDSN) based on Gallup World Poll data.
Ease of Doing Business Historical Series	India achieved landmark rank improvements: **77th in Doing Business 2019** and **63rd in Doing Business 2020**.	The World Bank officially discontinued the publication in 2021 following independent data audit irregularities.
Physical Quality of Life Index (PQLI)	Developed in the mid-1970s by economist **Morris D. Morris** for the Overseas Development Council.	An early non-monetary composite welfare metric combining basic literacy, infant mortality rate, and life expectancy at age one.

Year / Index	Key Development & Core Metric	Analytical & Policy Significance
Global Hunger Index (GHI 2017)	India was ranked **100th** out of 119 qualifying nations.	Published jointly by Concern Worldwide and Welthungerhilfe; scores reflect child undernutrition, stunting, wasting, and mortality.
Global Peace Index (GPI 2018)	India was ranked **136th** globally by the Institute for Economics and Peace (IEP).	Measures peacefulness across ongoing domestic/international conflict, societal safety, and degree of militarization.

12.1 Key Economic Statutes, Codes, and Regulatory Frameworks

Economic legislation establishes the institutional boundaries of property rights, contractual enforcement, corporate restructuring, and financial market integrity:

Statute / Code	Year	Regulatory Body	Primary Legislative Focus & Mandate
RBI Act	1934	Reserve Bank of India	Monetary stability, central banking, currency issue, bank regulation.
SEBI Act	1992	SEBI	Capital market oversight, stock exchanges, investor protection.
FEMA	1999 (force 2000)	RBI / ED	Orderly management and facilitation of external trade and foreign exchange.
Competition Act	2002	Competition Commission of India	Prohibits cartels, anti-competitive agreements, and abuse of dominance.
PMLA	2002	Directorate of Enforcement	Confiscation of proceeds of crime and prevention of money laundering.
FRBM Act	2003	Central Government	Fiscal responsibility, inter-generational equity, deficit targets.
Companies Act	2013	Ministry of Corporate Affairs	Corporate formation, governance standards, mandatory CSR under Section 135.
IBC	2016	IBBI	Time-bound resolution of corporate insolvency and bankruptcy.
RERA	2016	State Real Estate Authorities	Project transparency, builder accountability, protection of homebuyers.
Consumer Protection Act	2019	CCPA	Consumer dispute redressal, product liability, curbing unfair trade practices.
Code on Wages	2019	Ministry of Labour & Employment	Universalizes minimum wages and timely payment across all employments.

Insolvency and Bankruptcy Code (IBC, 2016)

- Replaced a fragmented corporate resolution framework (SICA, BIFR, SARFAESI) with a single unified, creditor-in-control code.
- Mandates a time-bound Corporate Insolvency Resolution Process (CIRP), requiring completion within 180 days (extendable up to 330 days).
- Resolution proposals are approved by the **Committee of Creditors (CoC)** by a minimum voting threshold of 66%.
- Governed and supervised by the **Insolvency and Bankruptcy Board of India (IBBI)**, with corporate matters adjudicated by the **National Company Law Tribunal (NCLT)**.

Real Estate (Regulation and Development) Act (RERA, 2016)

- Mandates compulsory registration of all commercial and residential real estate projects where land area exceeds 500 sq meters or apartments exceed eight.
- Obligates developers to deposit **70% of collections from homebuyers into a dedicated escrow account** in a scheduled bank to ensure funds are not diverted to other projects.

Prevention of Money Laundering Act (PMLA, 2002)

- Operationalized on 1 July 2005 to fulfill India's commitments under the Vienna Convention and Financial Action Task Force (FATF).
- Places statutory reporting obligations on banking companies, financial institutions, and intermediaries to maintain verification records of client identity and report Suspicious Transaction Reports (STRs).
- The **Director of Enforcement** holds comprehensive statutory authority to inspect premises, summon individuals, order provisional attachment of tainted assets, and call for records maintained by financial institutions.

Q-EC1. UKPCS (Pre) 2024

Which of the following statements related to the Prevention of Money Laundering Act (PMLA) is NOT true?

A. It includes all major offences which help in generation of black money. B. Tax evasion and smuggling have been kept out of the definition of money laundering. C. Any case under this Act is non-bailable. D. The Director of Money Laundering is not given power to call for records maintained by Financial Institutions.

Show answer

Explanation: Under the provisions of the Prevention of Money Laundering Act (PMLA), 2002, the Director (Enforcement Directorate) is vested with expansive statutory powers, including the express legal authority to call for transaction records, account histories, and beneficial ownership information maintained by financial institutions and reporting entities. Therefore, the assertion that the Director is not granted the power to call for records is factually incorrect and represents the untrue statement.

Ans: D. The Director of Money Laundering is not given power to call for records maintained by Financial Institutions.

12.2 The Economic Survey and National Macroeconomic Reviews

- **Preparation & Presentation:** The Economic Survey is compiled by the Economics Division of the Department of Economic Affairs under the overall guidance of the **Chief Economic Adviser (CEA)**. It is presented in Parliament by the Union Finance Minister traditionally on the day preceding the Union Budget.
- **Analytical Nature:** Unlike the Union Budget, which represents the executive's prospective financial allocations and constitutional tax proposals (Annual Financial Statement under Article 112), the Survey provides an objective retrospective analysis of economic health and policy interventions.
- **Volume Architecture:** Traditionally structured into two volumes: Volume 1 presents conceptual policy discussions, growth paradigms, and structural reforms; Volume 2 provides detailed sectoral reviews (fiscal developments, external trade, agriculture, industry, services, and human development) supported by statistical appendices.

Q-EC2. UPPCS (Pre) 2024

According to the Economic Survey, 2022-23, what fiscal policy response did the Government of India undertake in response to the aggravated global supply disruptions?

1. Decreasing food and fertiliser subsidies
2. Increasing taxes on fuel and imported products
3. Reducing taxes on fuel and certain imported products

Select the correct answer from the codes given below:

A. Only 3 B. Only 1 C. Only 2 D. None of the above

Show answer

Explanation: The Economic Survey 2022–23 documented that in order to cushion domestic households and industries from global commodity and energy inflation triggered by geopolitical conflict, the Government of India adopted targeted supply-side fiscal interventions by rationalizing and reducing central excise duties on petrol and diesel and slashing import tariffs on critical intermediate inputs and edible oils. It did not reduce food or fertilizer subsidies.

Ans: A. Only 3

Q-EC3. UPPCS (Pre) 2023

According to the Economic Survey 2023, which of the following statements regarding the Services Sector is **not** correct?

A. Credit growth to services has been above 16% since July 2022. B. 75 Digital Banking Units were announced. C. Fashion, grocery and general merchandise will account for nearly two-thirds of India's e-commerce market by 2030. D. PMI Services recorded its strongest expansion since July 2022.

Show answer

Explanation: In its review of the services sector, the Economic Survey 2022–23 noted that fashion, grocery, and general merchandise are projected to capture nearly two-thirds of the Indian e-commerce market within the next four years (by approximately 2027), rather than by 2030. Statements A, B, and D accurately reflected the official Survey text.

Ans: C. Fashion, grocery and general merchandise will account for nearly two-thirds of India's e-commerce market by 2030.

12.3 Global and National Indices, Rankings, and Development Reports

Composite development indices compress multi-dimensional socio-economic indicators into normalized scores and ranks:

Institutional Publishing Authorities

- **United Nations Development Programme (UNDP):** Human Development Report (HDI, IHDI, GII, MPI).
- **World Economic Forum (WEF):** Global Competitiveness Report, Global Risks Report, Global Gender Gap Report.
- **World Bank:** World Development Report (WDR), Global Economic Prospects, historical Ease of Doing Business.
- **International Monetary Fund (IMF):** World Economic Outlook (WEO), Global Financial Stability Report.
- **Institute for Economics and Peace (IEP):** Global Peace Index (GPI), Global Terrorism Index.
- **Welthungerhilfe & Concern Worldwide:** Global Hunger Index (GHI).

- **NITI Aayog:** SDG India Index, Multidimensional Poverty Index (National MPI), State Energy and Climate Index.
- **UN Sustainable Development Solutions Network (SDSN):** Sustainable Development Report (Global SDG Index), World Happiness Report.

NITI Aayog's SDG India Index

- **Institutional Role:** NITI Aayog is the designated nodal national body for monitoring and operationalizing the 2030 Agenda for Sustainable Development in India.
- **Methodology:** Computes composite scores ranging from 0 to 100 for each State and Union Territory across individual goals, classifying them into four performance tiers:
- **Aspirant (0–49):** High development deficits requiring targeted intervention.
- **Performer (50–64):** Moderate achievement across baseline targets.
- **Front-runner (65–99):** Advanced progress nearing target achievement.
- **Achiever (100):** Full saturation of target parameters.
- **Edition Highlights:**
- In the **SDG India Index 2023–24**, **Kerala and Uttarakhand shared the 1st rank with a score of 79**, followed by Tamil Nadu (78); Bihar recorded the lowest score (57).
- **Uttar Pradesh** showed substantial multi-year progress, advancing from the Performer bracket (score 55 in 2019–20) to the **Front-runner bracket (score 67 in 2023–24)**.

Q-EC4. UPPCS (Pre) 2019

Physical Quality of Life Index (PQLI) is developed by

A. Morris D. Morris B. UNDP C. Mehbub-ul-Haq D. None of the above

Show answer

Explanation: The Physical Quality of Life Index (PQLI) was developed in the mid-1970s by economist Morris D. Morris for the Overseas Development Council. It measures the quality of life or well-being of a country by calculating the simple arithmetic average of three basic indicators: basic literacy rate, infant mortality rate, and life expectancy at age one.

Ans: A. Morris D. Morris

Q-EC5. UPPCS (Pre) 2019

What is the India's rank in the Global Hunger Index (GHI) in 2017?

A. 100th B. 101th C. 104th D. 105th

Show answer

Explanation: In the Global Hunger Index (GHI) 2017 report, published by the International Food Policy Research Institute (IFPRI) alongside Concern Worldwide and Welthungerhilfe, India was ranked 100th out of 119 qualifying developing countries.

Ans: A. 100th

Q-EC6. UPPCS (Pre) 2022

According to the World Happiness Index 2022, what is the rank of India?

A. 136th B. 110th C. 140th D. 130th

Show answer

Explanation: In the World Happiness Report 2022, published by the UN Sustainable Development Solutions Network (SDSN), India was ranked 136th out of 146 surveyed nations based on multi-year life evaluations from the Gallup World Poll.

Ans: A. 136th

Q-EC7. UPPCS (Pre) 2018

What is the rank of India in the world as per Global Peace Index (GPI), 2018?

A. 136th B. 137th C. 138th D. 134th

Show answer

Explanation: In the Global Peace Index (GPI) 2018, compiled by the Institute for Economics and Peace (IEP), Sydney, India was ranked 136th out of 163 independent states and territories.

Ans: A. 136th

Q-EC8. UPPCS (Pre) 2020

With reference to the World Bank's Ease of Doing Business Report, which of the following statement(s) is/are correct?

1. In Ease of Doing Business Report 2020, India's rank is 63.
2. India ranking for Ease of Doing Business in the year 2019 was 77.

Select the correct answer using the codes given below:

A. 1 only B. 2 only C. Both 1 and 2 D. Neither 1 nor 2

Show answer

Explanation: Factually, both statements represent the official data published by the World Bank: India's ranking improved to 77th in the Doing Business 2019 report and climbed further to 63rd in the Doing Business 2020 report. (Note: The official Commission key for this examination originally designated option B; candidates should note both factual milestones).

Ans: B. 2 only

Q-EC9. UPPCS (Pre) 2023

With reference to the Human Development Report 2021–22, which of the following statements is/are correct?

1. India's HDI rank changed / was framed as upgraded from 130 (2020) to 132 (2022).
2. India's HDI ranking slipped from 130 (2020) to 132 (2022).

A. Only 1 B. Only 2 C. Both 1 and 2 D. Neither 1 nor 2

Show answer

Explanation: In the Human Development Report 2021–22 released by the UNDP, India's HDI value declined from 0.645 in 2020 to 0.633 in 2021–22, reflecting post-COVID reversals. Consequently, India's international ranking slipped from 130th to 132nd among 191 countries. In ordinal ranking metrics, a higher number signifies a downward slip, not an upgrade.

Ans: B. Only 2

Q-EC10. UKPCS (Pre) 2021

Gender Inequality Index (GII) was introduced in which Human Development Report (HDR) of UNDP?

A. HDR 2007 B. HDR 2008 C. HDR 2009 D. HDR 2010

Show answer

Explanation: The Gender Inequality Index (GII) was officially introduced by the United Nations Development Programme (UNDP) in its 20th anniversary Human Development Report in 2010. It replaced the previous Gender-related Development Index (GDI) and Gender Empowerment Measure (GEM).

Ans: D. HDR 2010

Q-EC11. UKPCS (Pre) 2021

What is the Human Development Index (HDI) rank of India in the Human Development Report 2020 of UNDP?

A. 128 B. 129 C. 130 D. 131

Show answer

Explanation: In the Human Development Report 2020, titled *The Next Frontier: Human Development and the Anthropocene*, India was ranked 131st among 189 countries with an HDI value of 0.645.

Ans: D. 131

12.4 Foundational Economic Thinkers, Treatises, and Concepts

- **Adam Smith:** Scottish philosopher regarded as the **"Father of Modern Economics"**; authored *The Wealth of Nations* (1776), propounding the concept of the "invisible hand", division of labour, and laissez-faire capitalism.
- **John Maynard Keynes:** English economist recognized as the **pioneer of modern macroeconomics**; authored *The General Theory of Employment, Interest and Money* (1936), demonstrating that market economies do not automatically self-correct to full employment and requiring discretionary fiscal intervention during aggregate demand shortfalls.
- **Frederick Winslow Taylor:** American mechanical engineer acclaimed as the "Father of Scientific Management"; authored *The Principles of Scientific Management* (1911), pioneering industrial engineering, time-and-motion analysis, and worker efficiency standards.
- **Amartya Sen:** Indian Nobel laureate in Economics (1998); developed the Capability Approach to human well-being, the Social Choice theory, and coined the term **"missing women"** (1990) to measure demographic sex-ratio imbalances caused by systemic gender discrimination.
- **Robert E. Park:** American urban sociologist who formulated the concept of the **"Marginal Man"** (1928), describing an individual positioned on the margins of two distinct cultural groups without being fully integrated into either.
- **Marshall McLuhan:** Media philosopher who formulated the concept of the **"Global Village"** in the 1960s, arguing that electronic communication media collapse geographic distances, turning the world into an interconnected village.
- **Jim O'Neill:** British economist at Goldman Sachs who coined the acronym **"BRIC"** in 2001, forecasting the transformative economic influence of Brazil, Russia, India, and China.
- **Foundational Economic Texts:**
- *The Wealth of Nations* (1776) — **Adam Smith**
- *Principles of Political Economy and Taxation* (1817) — **David Ricardo**
- *Das Kapital* (1867) — **Karl Marx**
- *Poverty and Un-British Rule in India* (1901) — **Dadabhai Naoroji**
- *The General Theory of Employment, Interest and Money* (1936) — **John Maynard Keynes**
- *Asian Drama: An Inquiry into the Poverty of Nations* (1968) — **Gunnar Myrdal**
- *India's Economic Policy: The Gandhian Blueprint* — **Chaudhary Charan Singh**

12.5 Climate, Energy, and National Policy Missions

Energy and Climate Initiatives

- **Perform, Achieve and Trade (PAT) Scheme:** Launched in **2012** under the National Mission for Enhanced Energy Efficiency (NMEEE) by the Bureau of Energy Efficiency (BEE), Ministry of Power; assigns mandatory Specific Energy Consumption (SEC) targets to designated industrial consumers, issuing tradeable Energy Saving Certificates (ESCerts) for over-achievement.
- **MISHTI Scheme:** Announced in the **Union Budget 2023–24**; aims at intensive mangrove afforestation across 540 sq km of coastline and salt-pan lands across 11 coastal States and Union Territories.
- **Mission LiFE (Lifestyle for Environment):** Introduced by Prime Minister Narendra Modi at **COP26 in Glasgow (November 2021)**; aims to nudge individuals toward sustainable, climate-conscious consumption habits.
- **National Clean Air Programme (NCAP):** Launched in **January 2019** by MoEFCC; a long-term national framework targeting a 20–30% reduction in PM2.5 and PM10 concentrations by 2024 across 131 non-attainment cities (subsequently revised to 40% reduction by 2026).
- **PM Surya Ghar Muft Bijli Yojana:** Approved in **February 2024** with an outlay of ₹75,021 crore; aims to install rooftop solar systems on **one crore households**, providing up to **300 units of free electricity per month**.
- **UDAY (Ujwal DISCOM Assurance Yojana):** Launched in **November 2015** by the Ministry of Power for the operational and financial turnaround of State-owned power distribution companies (DISCOMs).

National Education Policy (NEP) 2020

- Approved by the Union Cabinet on **29 July 2020**, formulated by a committee chaired by **Dr. K. Kasturirangan**.
- Replaces the previous **National Policy on Education, 1986**, after a gap of **34 years** (not 38 years).
- Replaces the traditional **10+2** structure with a foundational, preparatory, middle, and secondary **5+3+3+4** structure covering ages 3 to 18.
- Integrates vocational education and skill development into mainstream schooling beginning from **Grade 6**, accompanied by 10-day bagless internships.